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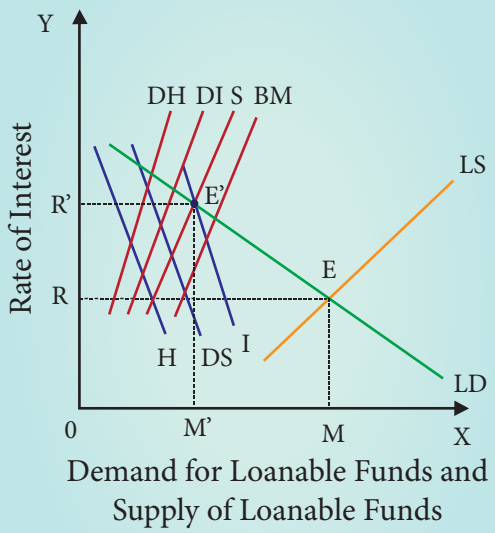
Equilibrium

The rate of interest is determined by the equilibrium between the total demand for and the total supply of loanable funds.

Supply of and Demand for Loanable Funds

Supply of loanable funds	=	Savings + Bank Credit + Dishoarding + Disinvestment
		= S + BC + DH + DI
Demand for loanable funds	=	Investment + Consumption + Hoarding
		= I + C + H



Demand for Loanable Funds and Supply of Loanable Funds

Diagram 6.4

In Diagram 6.4, X axis represents the demand for and supply of loanable funds and Y axis represents the rate of interest. The LS curve represents the total supply curve of loanable funds. This is obtained by the summation of the Saving Curve (S), Bank credit curve (BC), Dishoarding curve (DH) and Disinvestment curve (DI). The LD curve represents the total demand for loanable funds; this is obtained by the summation of the demand for investment curve I, demand curve for consumption demand or dissaving curve and curve for demand for hoarding curve H. The LD and LS curves, intersect each other at the point "E" the equilibrium point. At this point, OR rate of interest and OM is the amount of loanable funds.

Criticisms

1. Many factors have been included in this theory.Still ther are many more factors.Two such factors are 1)Asymmetric Information and 2) Moral Hazard.In practice larger firms, due to their political powers, are able to get huge bank credit at lower interest rates.But due to NPAs, (Non-Performing Assets)small firms and depositors lose their interest income. The loanable funds theory is "indeterminate"" unless the income level is already known. (This can be studied in 12th standard Economics)
2. It is very difficult to combine real factors like savings and investment with monetary factors like bank credit and liquidity preference.

6.9.4 Keynes' Liquidity Preference Theory of Interest or The Monetary Theory of Interest

Keynes propounded the Liquidity Preference Theory of Interest in his famous book, "The General Theory of Employment, Interest and Money" in 1936.

J.M. Keynes